

“Some of our states have to introspect and get their act together”

Finance Minister Nirmala Sitharaman on the measures announced in the recent Budget, India's growth prospects, global uncertainty and more

BY TEAM BT

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Soon after she presented a record eighth consecutive Budget on February 1, Finance Minister Nirmala Sitharaman was interviewed by Rahul Kanwal, News Director of India Today and Aaj Tak, and Executive Director of Business Today; Siddharth Zarabi, Editor, Business Today; Sahil Joshi, Executive Editor, India Today; and Sakshi Batra, Senior Associate Editor, BTTV. Edited excerpts:

Q: Are the tax sops an admission that urban consumption has not grown fast and, therefore, a masterstroke was needed?

A: In the last three or four years, we have continuously engaged [with income tax payers]... and to ensure that their trust in the government is intact, we have taken several steps. In every Budget clear steps have been taken towards giving the sense that we respect

taxpayers. And this is a continuation of that effort. I don't deny that this is going to have a collateral [impact] in terms of consumption, in savings. Taxpayers are all over the country, not just in urban areas, and this is a continuation of Prime Minister Modi's effort to respect the service that taxpayers are doing in nation building.

Q: Beyond direct tax, does the onus now shift to the GST (Goods and Services Tax) Council to reform and give us a GST 3.0 that addresses some of the anomalies?

A: To be fair to the GST Council and the ministers who are a part of it, the work on rationalising and simplifying GST rates had commenced nearly three years ago. Even before the last GST meet in Rajasthan (in December 2024), quite an extensive amount of work had already been completed. I had spoken to the ministers to tell them that I need to have a bit more in-depth look at it, because we are going to discuss how to reduce the rate of items that are in the common man's list for everyday consumption. For me, it was also important that we don't lose an opportunity to bring down the number of rates, which was also the original intent. Work has got to happen on that, and I hope the GST Council will decide on it soon.

Q: Are you confident that you are close to some kind of consensus in the GST Council?

A: Every item has been scrutinised by the GST Council. You may not hear state finance ministers on the media speaking in favour of or on behalf of the GST Council, but that doesn't mean that there is a discor-